How Capitalism Produces Political Backlash

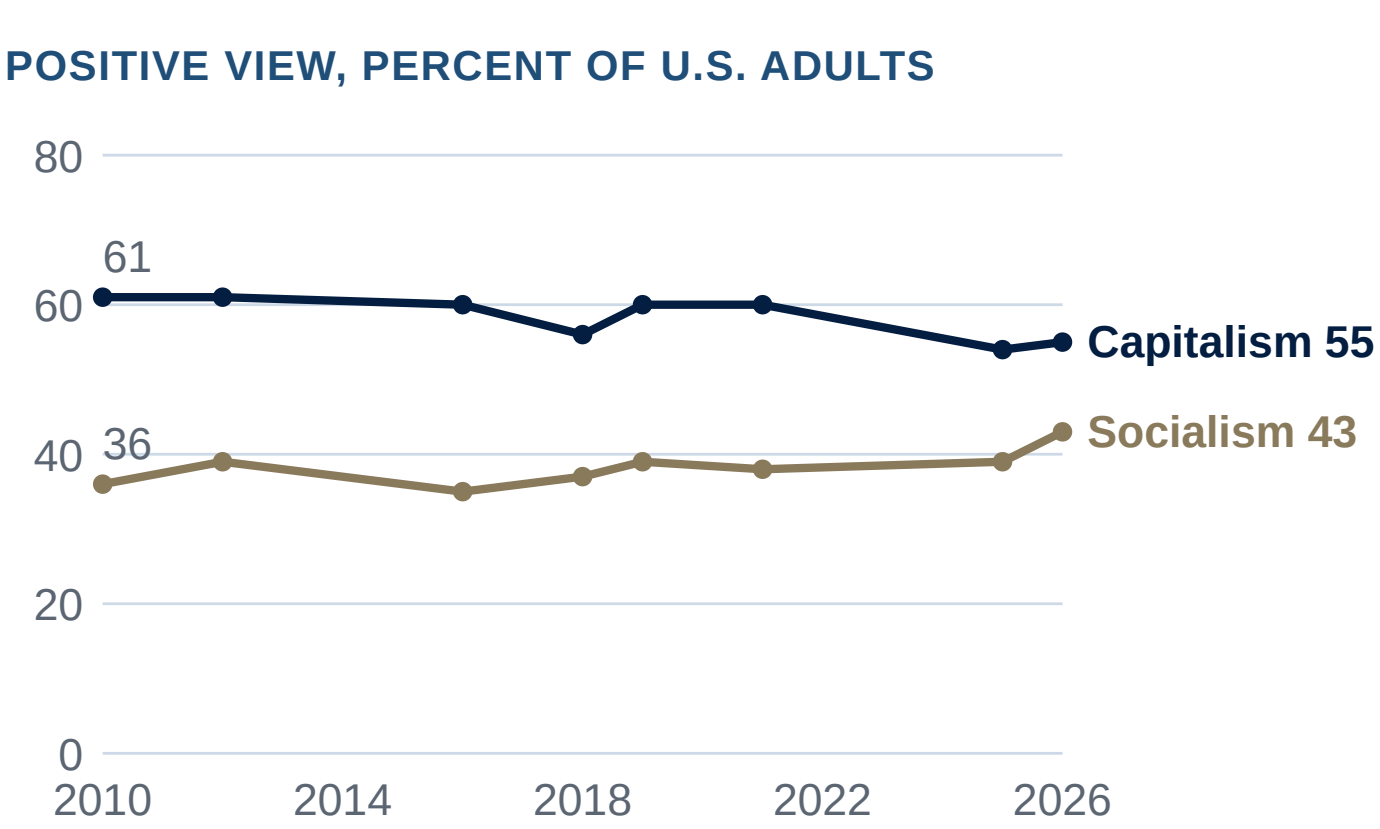
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On September 15, 2008, Lehman Brothers filed the largest bankruptcy in U.S. history. Within weeks governments were rescuing the banks.

Capitalism’s image has slipped in the U.S.



Gallup, Socialism’s Positive Rating Tops 40% for First Time, September 2026.

Small business still has a 95 percent positive rating, while big business has fallen to 35 percent.

> Why would people in the world’s largest market economy think less of capitalism?

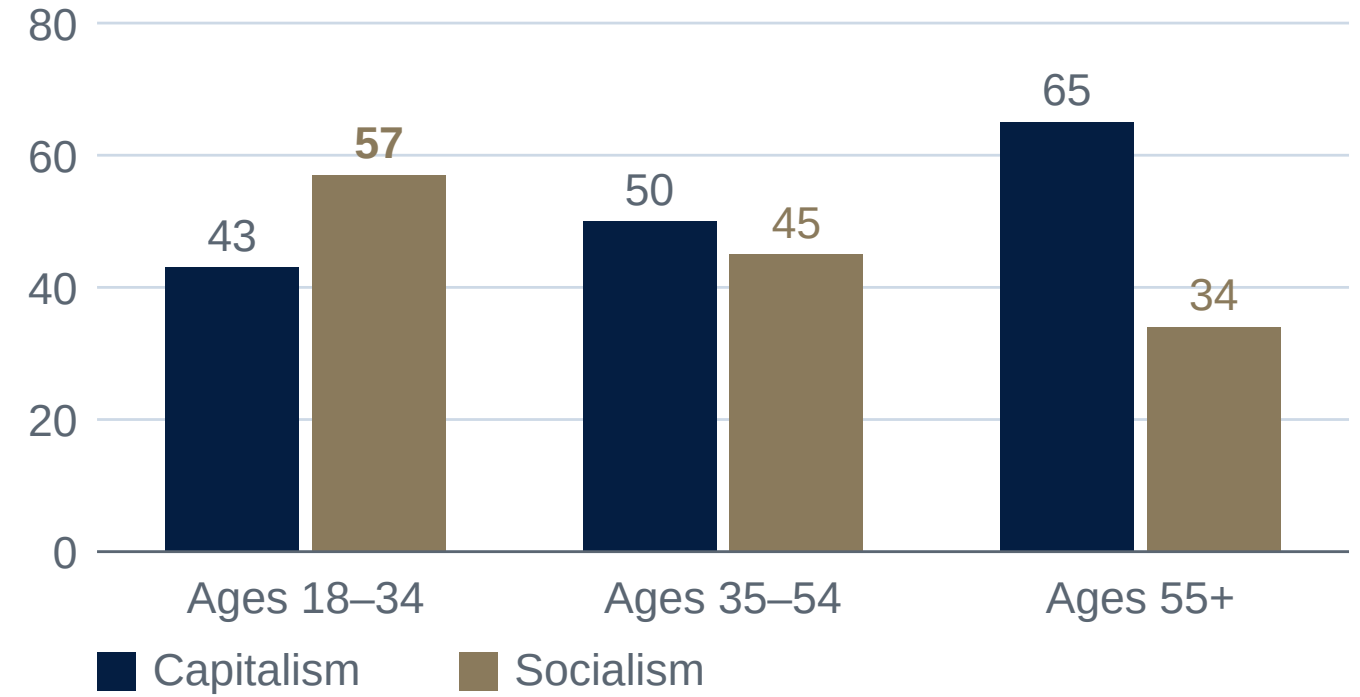
Young adults now rate socialism above capitalism

Among adults under 30, capitalism's positive rating fell from 68 percent in 2010 to 45 percent in 2018.

Democrats' rating of capitalism fell from 51 to 35 percent, while Republicans' rose.

> Today's young adults grew up during the crisis or the slow recovery that followed it.

POSITIVE VIEW BY AGE, 2026, PERCENT



Gallup, Socialism's Positive Rating Tops 40% for First Time, September 2026.

YOUR IB VOICE

THE CRISIS AND CAPITALISM

Positive views of capitalism in the U.S. have slipped since 2010, most among the young. Using one piece of evidence from Wolf, explain how the 2008 financial crisis could have changed the way people judge capitalism and those who run it.

10 minutes · Individual · Notes permitted

Why did so many people turn against capitalism’s leaders after 2008?

Their incomes stopped growing, and they blamed the people in charge.

They watched banks get rescued while they lost homes and jobs.

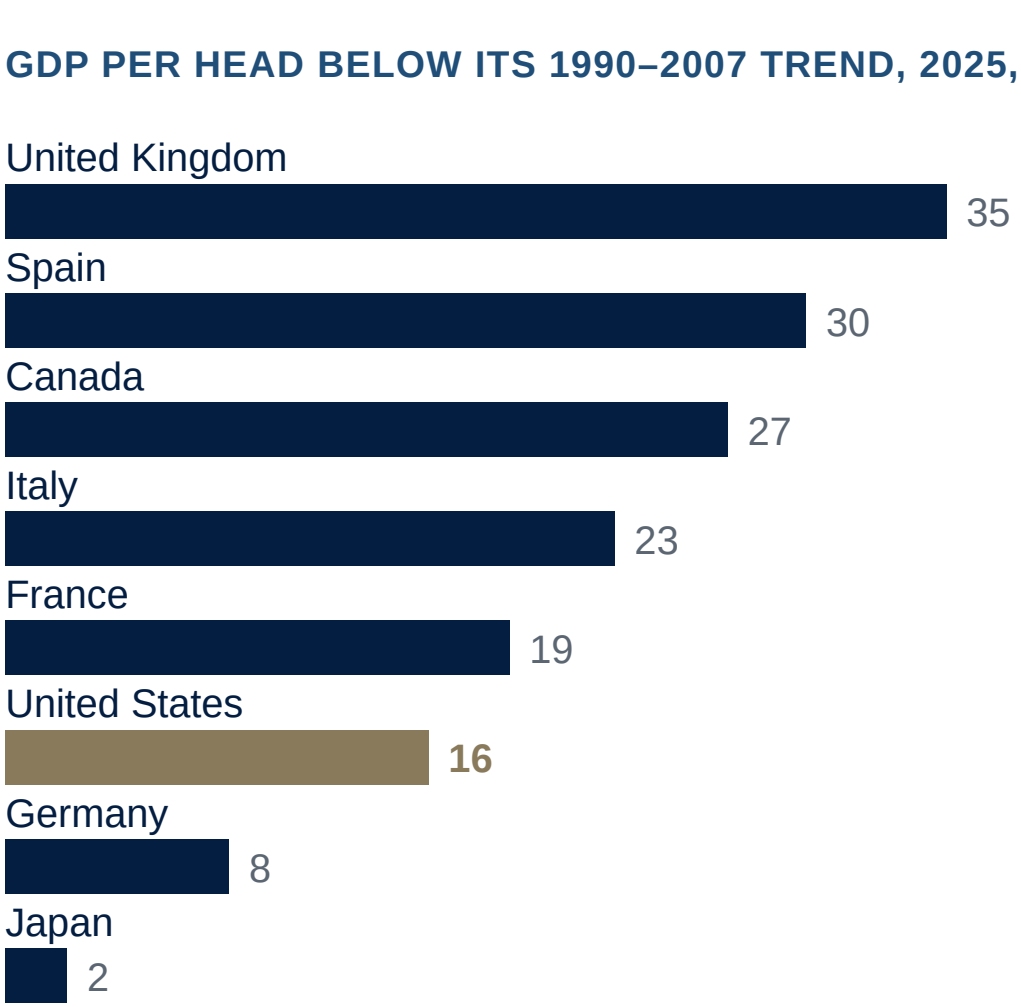
Immigration and cultural change made them feel they were losing status.

Spending cuts after the crisis hit the towns that depended on public money.

> Which of these would have mattered without the crisis?

What did the crisis cost households?

Output per person stayed below its precrisis trend



World Bank, World Development Indicators, 2026: GDP per capita, constant dollars; trend fitted to 1990–2007.

Each year below the precrisis trend adds to the output these economies lost.

Wolf calculates that the U.K.'s loss exceeds what either world war or the Great Depression caused.

> These economies never made up the output lost after 2008, and later shocks widened the gap.

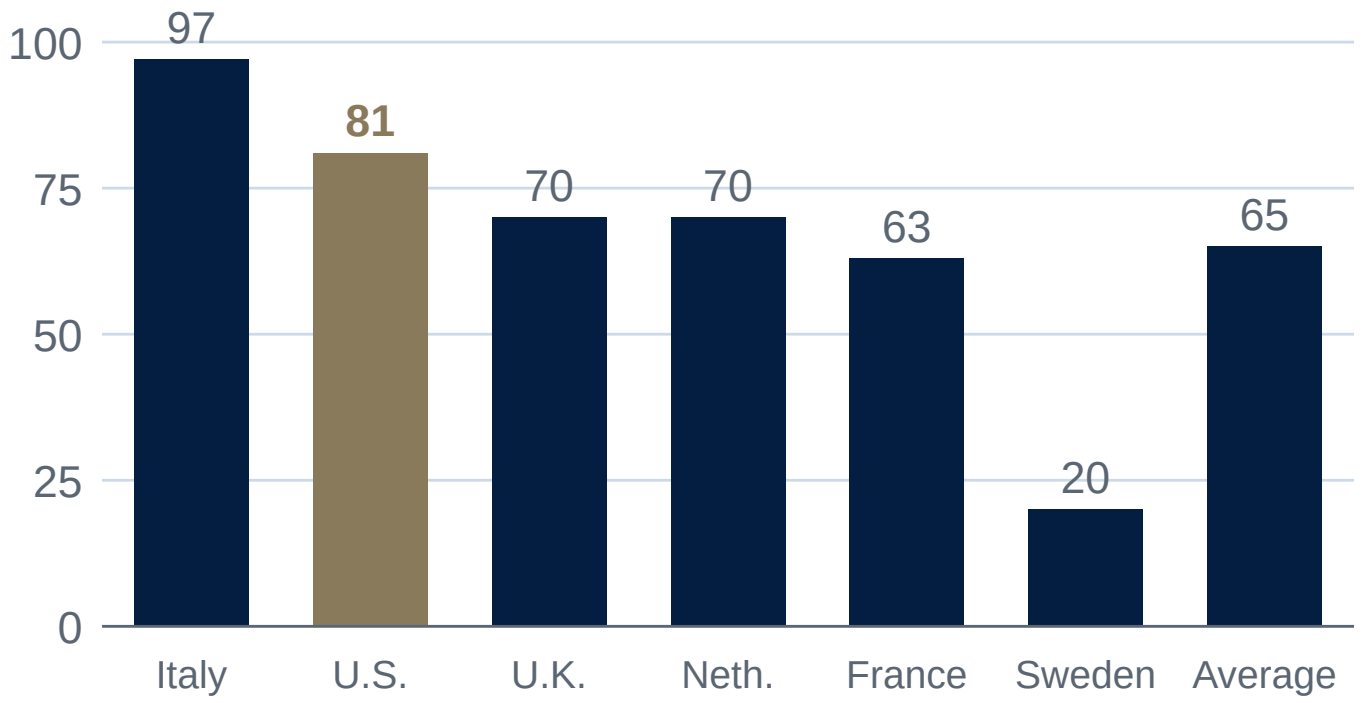
Most households' market incomes stopped rising

These are incomes from wages and investments, before taxes and government transfers.

Spending cuts after 2010 were largest in the U.S. and the U.K. among the seven largest rich economies.

> *Economic stagnation* is a long period in which most people's real incomes barely grow.

PERCENT OF HOUSEHOLDS, 2005–14



McKinsey Global Institute, *Poorer Than Their Parents?*, 2016, as shown in Wolf, *The Crisis of Democratic Capitalism*, 2023.

U.S. unemployment fell back within a few years, while most households' incomes stayed flat. Why might stagnant incomes still anger voters?

> Does anger follow the level of income, or the broken expectation that it would keep rising?

Why did the crisis cost so much trust?

Banks were rescued while families lost homes



David Valdez, HUD, Paulson and Jackson at a House hearing, 2007 · Wikimedia Commons, public domain

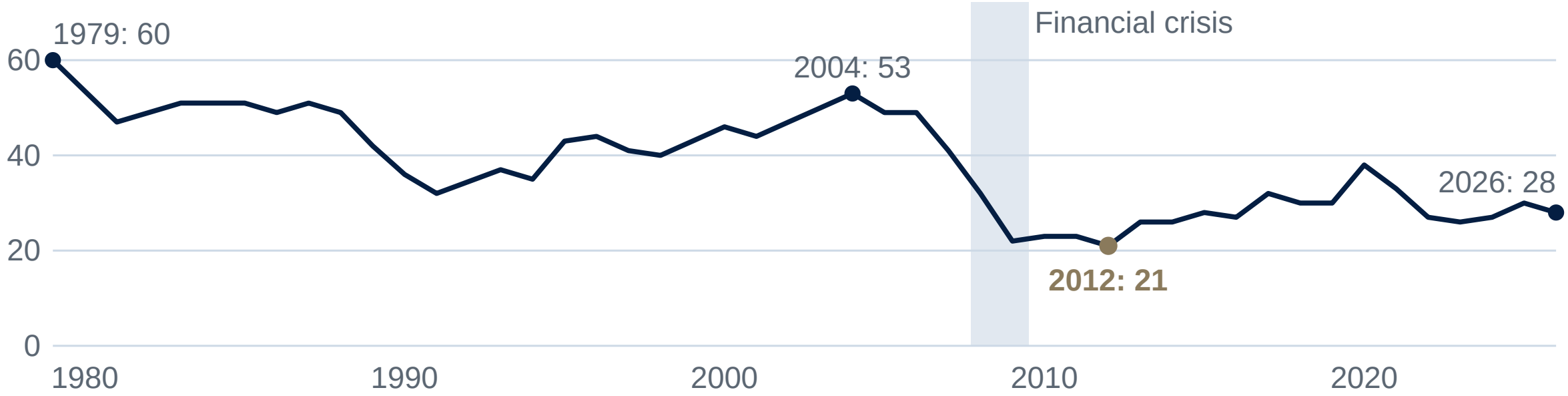
In October 2008 Congress authorized up to $700 billion to rescue failing firms.

About 4.8 million homes were lost to foreclosure by 2013, and only one bank executive went to prison.

> A *corporate bailout* is a government rescue that uses public money or guarantees to keep a failing firm alive.

Confidence in banks collapsed after 2008

CONFIDENCE IN BANKS, PERCENT OF U.S. ADULTS



Gallup, Confidence in Institutions, 2026: banks.

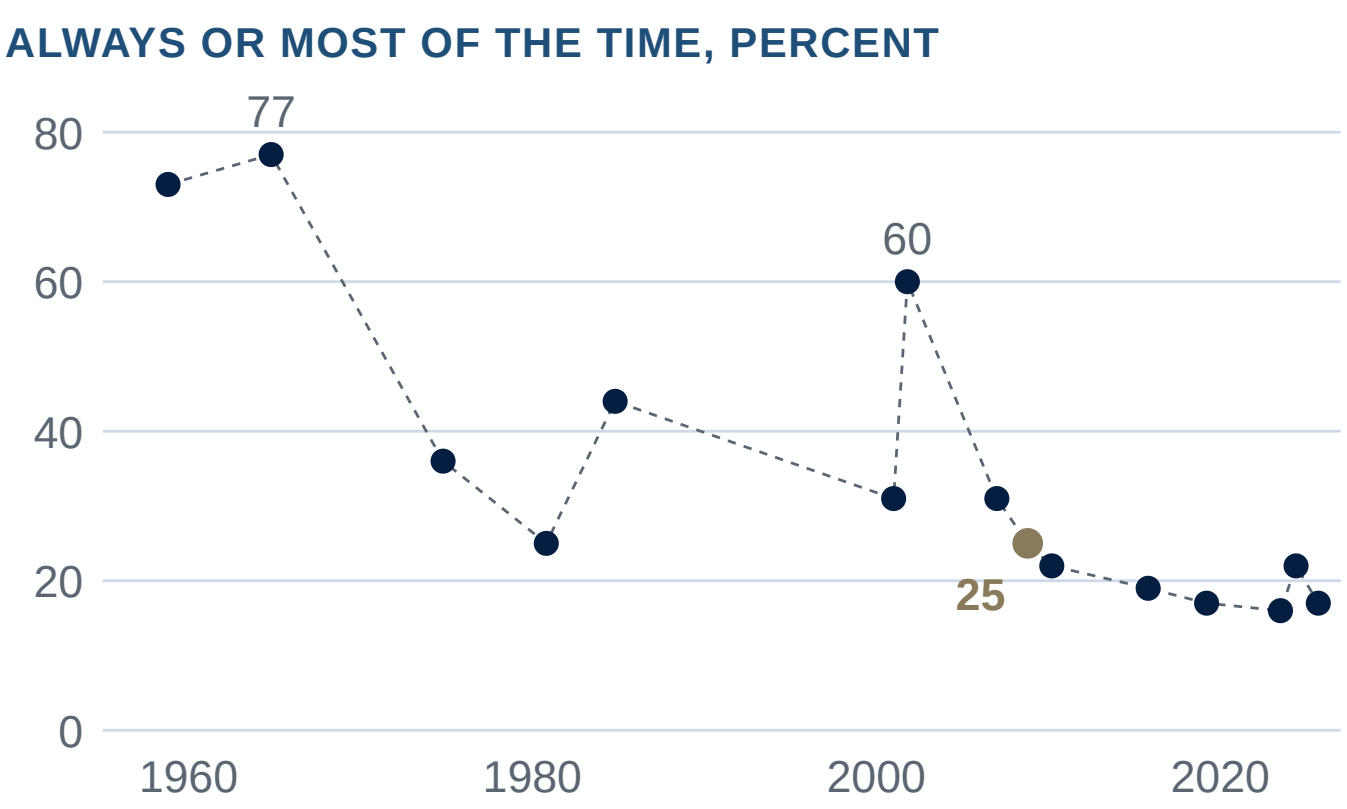
Voters could see that those in charge had failed, and then saw the bankers rescued.

> Wolf argues that a visible failure, followed by a rescue of those blamed for it, turned disappointment into distrust.

The Treasury got back more from the banks it rescued than it put in, while help for homeowners cost $31 billion. Why did the bank rescue still cost so much trust?

> Is a bailout judged by what it costs or by whom it protects?

Trust in the federal government has stayed low



Pew Research Center, Public Trust in Government: 1958–2025, 2025; 2008 is the average of three polls.

Trust in the federal government fell long before 2008, and the crisis kept it near its lowest levels.

> *Democratic capitalism* pairs a market economy with elected government, and each depends on citizens' trust.



In 2011 protesters camped near Wall Street and said they spoke for the 99 percent.

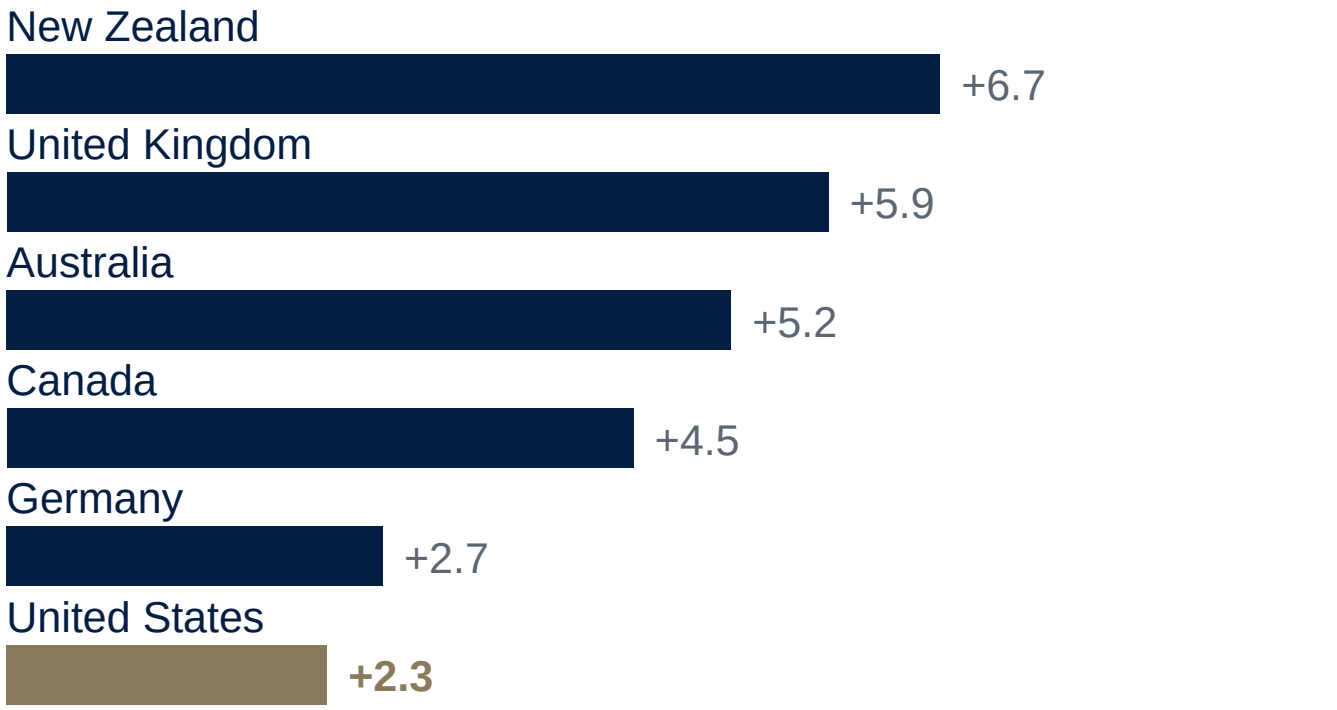
Why did the backlash come after 2008?

The foreign-born share grew less in the U.S.

Political scientists Inglehart and Norris call populism a cultural backlash against social change.

Wolf replies that those changes ran for decades, so they cannot explain why the backlash came now.

> Immigration rose less in the U.S., yet it became far more political there after the crisis.



World Bank, World Development Indicators, 2026: international migrant stock, from UN DESA.

A study of elections from 1870 to 2014 finds that far-right parties' vote share rises by about 30 percent of its precrisis level after financial crises, far more than after ordinary recessions. Why would a banking crisis matter more?

> What can voters see in a banking crisis that they cannot see in an ordinary recession?

Can a bank rescue keep public trust?

1. **Choose** one condition for rescuing the banks in October 2008: wipe out shareholders, cap and claw back executives' pay, pair the rescue with mortgage relief for homeowners, or prosecute executives who broke the law.
2. **Diagnose** which cause of distrust in Wolf it would address, citing one passage.
3. **Name** one risk it creates for the rescue itself.
4. **Defend** your choice to the person next to you.

15 minutes · Individual, then pairs · Reading permitted

Which condition would have done most to keep the public’s trust, and what would it have risked?

> Can a rescue stop a panic and still look fair to the public?

Wolf wrote in 2022 that COVID and the war in Ukraine left people looking to governments for help. In 2026 fuel and fertilizer prices have jumped after the closure of the Strait of Hormuz. What would Wolf expect this to do to politics?

> Which matters more for trust: how large the shock is, or who seems to pay for it?

How does globalization produce political backlash?

Trade and offshoring raise national income, but the losses fall on particular workers.

Those losses spread through the places the workers live, long after the factory closes.

After 2008 most households' incomes stalled for years.

The bank rescue, seen as saving those who caused the crisis, turned disappointment into distrust of elites.

That distrust weakened democratic capitalism, as the young turned from capitalism and others turned to populists.